CPF Board to introduce new investment scheme in 2028 offering simplified, low-cost, and diversified commercial investment products

The CPF Board will introduce a new investment scheme in 2028 as a response to the CPF Advisory Panel's recommendation for the Lifetime Retirement Investment Scheme. Today, the CPF system provides stable, risk-free interest rates to help Singaporeans grow their savings for retirement. For members with investible savings, the CPF Investment Scheme (CPFIS) provides the option to invest their CPF savings in a wide range of instruments. The new scheme will complement the existing system, by catering to long-term investors who are willing to take some risk for potentially higher returns, but who may have less expertise in navigating the CPFIS offerings or prefer not to actively manage their investments.

The CPF Board will work with commercial product providers to offer simplified, low-cost, and diversified life-cycle investment products under the new scheme. These products will automatically rebalance investors' portfolios towards lower risk assets as they approach target date. This will cater to members who want to stay invested for the long term and ride out market cycles, without having to actively manage their portfolios. Participation in the new scheme will be voluntary.